

Cabinet greenlights ₹1.275 trillion Semicon 2.0, second phase of ISM

The Union Cabinet has approved Semicon 2.0, the second phase of ISM, with a ₹1.275 trillion outlay. Unlike ISM 1.0, which focused on fabs, ATMP/OSAT, and chip design, Semicon 2.0, with its new official branding, will expand support to indigenous equipment, materials, full-stack IP, supply chains, R&D, skills, and ancillary industries.

Union Minister Ashwini Vaishnaw speaking during a cabinet briefing in New Delhi on July 15, 2026 (Photo Credit: ANI and www.thehindu.com)



12 ISM 1.0 projects build ₹1.64 trillion pipeline, target ₹312.99 billion by 2027

As India gears up for ISM's next phase, Union Minister Ashwini Vaishnaw said 12 semiconductor projects approved under ISM 1.0 represent an investment pipeline of about ₹1.64 trillion. Beneficiaries are projected by the MeitY to invest ₹312.99 billion by FY27, with Micron and Kaynes operational, CG Power launched, and Tata's Dholera fab due by 2028.

India pushes semiconductor agenda at Pax Silica

India participated in the second Pax Silica Summit in Washington on June 25-26, seeking semiconductor investments and access to the proposed US-backed \$250 million Pax Silica Seed Fund. The 16-nation coalition discussed semiconductors, AI infrastructure, and resilient supply chains, while India showcased its growing semiconductor manufacturing ecosystem.

India and Japan eye \$69 billion investment, target semiconductors

During Japanese Prime Minister Sanae Takaichi's 1-3 July visit to India for the 16th India-Japan Annual Summit, India and Japan identified semiconductors, AI, critical minerals, and ICT as priority sectors under a new economic security partnership. The countries also targeted ¥10 trillion (US\$69 billion) in Japanese investment into India by 2036.

Assam confirms ₹140.44 billion incentives for the Tata semiconductor plant

Tata Electronics' ₹270 billion OSAT facility at Jagiroad, Assam, will receive ₹140.44 billion in central (₹102.55 billion) and state (₹37.89 billion) incentives. The plant will produce up to 48 million semiconductor packages daily using Flip Chip and ISIP technologies, creating over 27,000 jobs, said Assam's Industries, Commerce, and Public Enterprises Minister Bimal Borah.

CG Semi begins commercial chip shipments

Following its inauguration by Prime Minister Narendra Modi on 4th July 2026, CG Semi has begun commercial production and shipments from its G1 OSAT facility in Sanand, Gujarat. The first chip consignment was dispatched to Renesas Electronics customers in Malaysia.

Submer to invest ₹190 billion for semiconductor production in Madhya Pradesh

Spain's Submer Group has announced a ₹190 billion (almost US\$2 billion) investment in Madhya Pradesh's semiconductor and data centre industry. Unveiled at the MP Tech Growth Conclave 3.0, in Bhopal, on July 13, 2026, the project is expected to create nearly 5000 direct jobs and strengthen the state's as well as India's growing domestic semiconductor ambitions.